

What's driving the \$42M — and where to act first

NovaCorp People Analytics Challenge · Team O for 4 · executive summary · full deck and appendix attached

NovaCorp cannot fix what it refuses to count. The metric that defines "a departure we regret" never fires for High Performers, so the most expensive problem in the business is invisible on the CHRO's own dashboard — and the \$42M was budgeted on top of that blind spot. Once you count properly, the loss concentrates in one place: an acquisition that was never finished. And NovaCorp has already proved it knows how to fix that, because it did it once before.

COUNTED TODAY \$14.3M 153 departures flagged	ON THE DATA \$45.1M 499 high-value voluntary exits	NEVER RECORDED AS A LOSS 371 high performers	ENTITY_B VS ENTITY_A 1.9x 7.0% vs 3.6%/yr, $p=8\times10^{-9}$	ADDRESSABLE \$71M cheapest lever is the largest
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1 · You are measuring the wrong thing

HR's regrettable_flag fires on 153 departures over two years. Apply a value-based definition — every High Performer or Outstanding employee who *chose* to leave — and it is 499. **Of the 168 High Performers who were managed out, zero were flagged regrettable.** Not a low rate. Zero. The flag is applied after the exit by the same function that approved it, so it records whether a departure was *convenient*, not whether it was *costly*.

2 · Restated, the three buckets total \$65.2M

Bucket	Finance	On the data	Why it moved
Regrettable attrition	\$22–25M	\$45.1M	flag excludes High Performers
Disengagement	\$12–15M	\$17.8M	813 staff persistently below 2.5
Hiring inefficiency	\$4–6M	\$2.3M	agency premium is genuinely small

Only one bucket moves in your favour, and it is the smallest. Same formula, same constants, different population.

3 · The loss concentrates in one acquisition

Entity_B loses people at **7.0%/yr against Entity_A's 3.6%**, and it is the one still running on BambooHR two years after acquisition. It is not a department-mix effect: controlling for department, role level, pay and potential, the gap holds at **1.95x** (CI 1.55–2.44).

4 · It is not pay, and not their managers

Six of eight engagement dimensions are fine. Manager effectiveness ($p=0.35$) and psychological safety ($p=0.91$) show **no difference**. Senior leadership trust fell 0.301 and purpose 0.300. Entity_B is paid *above* NovaCorp-Origin (0.961 vs 0.937 compa-ratio) and leaves anyway. The composite index averaged all eight, so two collapsed scores were diluted by six healthy ones.

5 · You have already solved this once

Entity_A ran the same integration and is now the healthiest cohort in the company — 3.6%/yr, below NovaCorp-Origin's own 4.5%, with survey response recovered to 83.8%. That turns the recommendation from "we hope this helps" into "you have done this before, here, with this workforce". It also sets the success measure.

6 · What to do, in order

Action	Addressable	@20%	Cost to act
Redefine the regrettable flag	\$45.1M	\$9.0M	~\$0, policy
Disengagement programme	\$17.8M	\$3.6M	programme-dependent
Acquisition onboarding	\$7.9M	\$1.6M	~\$500–800/head

- Redefine what counts as a regrettable loss** — include High Performer, separate the flag from the function that approves exits, review quarterly. Restates your baseline immediately.
- Finish the Entity_B integration as a trust problem, not a systems problem** — stabilise the Senior Manager layer first (9.8%/yr vs 2.9%), then leadership visibility. **Not** manager training.
- Measure acquired cohorts from day one** — baseline against company norms at their first survey, and fix the 152 who were never asked.

The data rules out the three most expensive obvious responses: a pay round, a manager training programme, and cutting agency recruitment.

7 · What we recommend against ethics

The obvious move from our own analysis is a flight-risk score built on survey silence. **We recommend against deploying it at individual level.** It fails the four-fifths rule on age (impact ratio 0.08), role level (0.15) and acquisition cohort (0.08), and its precision is 22.6% — 901 false positives against 263 true ones. The attached dashboard works at cohort level only and contains no employee identifier at all.

What we cannot tell you. We cannot see pre-acquisition Entity_B, so we cannot rule out that they arrived unhappy. Engagement is observed only for responders, so every disengagement figure is a lower bound. Association, not causation. Full limitations on slide 14.

Every figure traces to a script. Two independent implementations agree on the early-tenure lever to the dollar; four agree on the entity attrition rates to the decimal. Appendix A14 lists each figure against its source. All rates are annualised voluntary exits over active headcount ($n=12,003$) on the brief's own constants.